

Of course, we've been assured by the sponsors of these dubiously dubbed index funds that "value investing wins" (not "has won in the past"), especially in troubled markets. But in the sharp market tumble of mid-2007 to mid-2008, the two leading fundamental index funds were down nearly 20 percent, a loss nearly half again larger than the 13 percent decline in a standard S&P 500 Index fund. As for the financial entrepreneurs who believe in weighting portfolios on the basis of book values, revenues, and earnings, and those who believe in weighting portfolios by dividends, I'm interested to read that they're now arguing with each other about which is the correct strategy, creating even more confusion for investors.

Absolute Return Funds

Given the truly remarkable successes of some of the nation's largest college endowment funds and some of our most speculative hedge funds, small wonder that fund sponsors are falling all over themselves to create fresh-faced new funds using purportedly similar strategies: hedging (funds that are long 130 percent in stocks and short 30 percent), market neutral (funds with no net equity exposure), commodities, purported private equity/ venture capital equivalents, and so forth. Here are two pieces of advice: One, look before you leap. Two, don't leap until the fund has produced an actual 10-year track record. Above all, remember (again, courtesy of Warren Buffett), "What the wise man does in the beginning, the fool does in the end." Or, as the Oracle of Omaha sometimes expresses it, "There are three *i*'s in every cycle: first the innovator, then the imitator, and finally the idiot." No matter what fund managers may offer you, don't you be the idiot.

Commodity Funds

First principles: Commodities have no internal rate of return. Their prices are based entirely on supply and demand. That is why they are considered *speculations*, and rank speculations at that. Contrarily, the prices of stocks and bonds are ultimately justified only by their